

US Daily: June FOMC Recap: Hikes Look More Likely but Are Still Not Our Base Case

- The June FOMC meeting delivered a hawkish surprise, with nine participants projecting a hike in 2026 (vs. our expectation of three) and the median projection for 2027 Q4/Q4 core PCE inflation rising to 2.5% (vs. our expectation of 2.3%). Market pricing for the fed funds rate at the end of 2026 rose by 20bp in response to the projections and Chairman Kevin Warsh's press conference.
- Today's meeting raises the risk of interest rate hikes later this year, but our base case is still that the FOMC will leave the policy rate unchanged this year. A majority could support a hike, perhaps for a range of different reasons, if upcoming inflation prints are uncomfortable and job growth remains solid. But we suspect that most of the voters still lean toward an unchanged policy rate and that participants treated the news about a deal with Iran and the reopening of the Strait of Hormuz cautiously for now. If so, today's projections could prove stale if trade resumes, which should resolve the most serious source of upside risk to inflation fairly quickly.
- Warsh also announced that he is creating five task forces to reconsider Fed communications, the Fed's balance sheet, the Fed's use of and reliance on existing data sources, productivity and jobs in "an era of transformation," and the Fed's inflation frameworks. He appeared particularly focused on rethinking Fed communications. Fed officials have already discussed some of these topics recently, and it is hard to know if the task forces will reach different conclusions.

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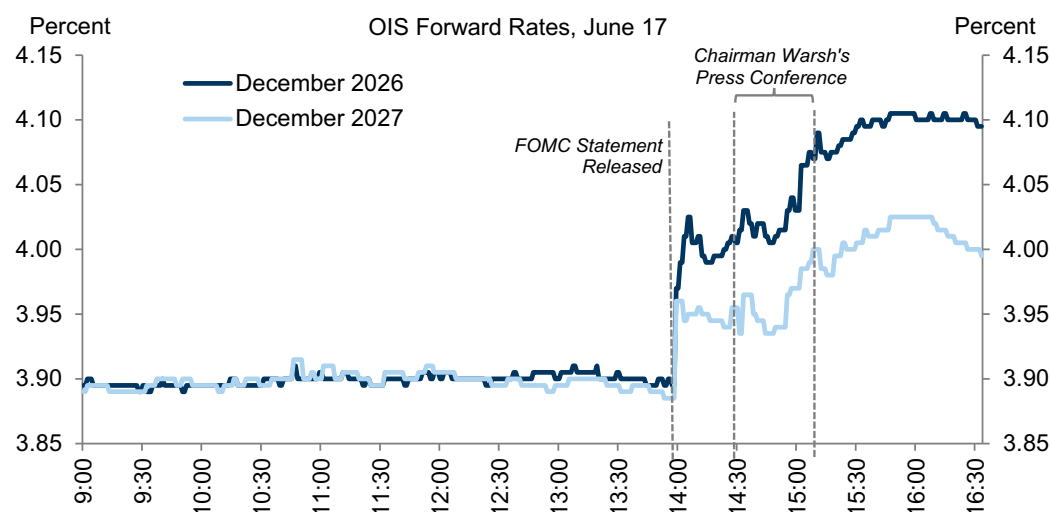
As widely expected, the FOMC left the funds rate unchanged at 3.5-3.75% today and removed the previous forward guidance suggesting cuts from its statement at the June FOMC meeting today. The FOMC also substantially shortened and simplified its post-meeting statement.

But the meeting also delivered a significant hawkish surprise, with nine participants projecting a rate hike in 2026, against our expectation that just three would. Because the new Chairman Kevin Warsh chose not to submit projections, this resulted in a nine to nine tie in the dot plot between those projecting at least one hike and those projecting an unchanged policy rate or, in one case, a rate cut.

Consistent with the hawkish message from the dots, the key surprise in the economic projections was that the median forecast for 2027 Q4/Q4 core PCE inflation rose 0.3pp to 2.5%, above our expectation that it would rise more modestly to 2.3%. This suggests that participants were more concerned that the recent firmer inflation news, caused in part by the energy cost shock from the war with Iran, has implications for inflation further down the road.

It was not clear where Warsh stood on the likelihood of a hike being appropriate from the press conference. He took a balanced view on whether the current stance of monetary policy is restrictive, noting that it is likely restraining housing activity but it is hard to say the same of the impact on financial markets. But he repeatedly emphasized the Fed's commitment to price stability, which might make him sympathetic to a hike if upcoming inflation reports are discouraging. And he said that "financial market prices are probably the most important source of information to guide central bankers," which might imply that he sees market pricing of a higher funds rate later this year as supporting the case for hiking.

In response to both the projections and Warsh's press conference, market pricing for the fed funds rate at the end of 2026 rose by 20bp and pricing for the end of 2027 rose by 11bp (Exhibit 1).

Exhibit 1: The Bond Market Took Both the FOMC's Projections at 2pm and Chairman Warsh's Press Conference Starting at 2:30 as Substantial Hawkish Surprises


Source: Goldman Sachs Global Investment Research

Today's meeting raises the risk of interest rate hikes later this year, but our base case is still that the FOMC will leave the policy rate unchanged this year. A majority could support a hike, perhaps for a range of different reasons, if upcoming inflation prints are uncomfortable and job growth remains solid. Some might be more concerned about recent inflation trends, while others might be less convinced that a hike is necessary but see little harm from a starting point where job growth has been running strong. A great deal will depend on upcoming inflation reports, and we do expect that May core PCE inflation will be firm at 31bp, though 12bp of that would come from financial services.

But we suspect that a majority of the twelve voters, as opposed to the nineteen participants, still lean toward an unchanged policy rate. We also suspect that participants treated the news about a deal with Iran and the reopening of the Strait of Hormuz cautiously for now. If so, today's projections could prove stale if trade resumes, which should resolve the most serious source of upside risk to inflation fairly quickly. Warsh noted that "my colleagues around the table, when they submitted their dots, understand the world is changing quite quickly" and will not feel bound by their projections.

Warsh also announced that he is creating five task forces to investigate Fed communications, the Fed's balance sheet, the Fed's use of and reliance on existing data sources, productivity and jobs in "an era of transformation," and the Fed's inflation frameworks. The task forces will include Fed staff economists as well as people from outside the Fed, including non-economists.

Warsh appeared particularly focused on reconsidering Fed communications and especially on making changes to the Summary of Economic Projections. He also said that "press conferences are useful, but when you have one you want to make sure you have something important to say," which could hint at a break from the current pattern of press conferences after each of the eight FOMC meetings.

Fed officials have already discussed some of the topics assigned to the task forces

recently. As Warsh noted, the FOMC discussed its communications practices as part of its 2025 framework review. It also discussed balance sheet policy as part of its 2020 framework review, and the Fed staff have written a number of research notes on the balance sheet recently. At this early stage, it is hard to know if the new task forces will reach different conclusions and ultimately produce meaningful policy changes.

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